

		The motion is denied. Defendant's request for sanctions is denied.
8	Smith v. Hyundai Motor America 2026-01560861 Motion to Compel Arbitration	Defendant Hyundai Motor America's Motion to Compel Arbitration is DENIED. Defendant seeks to compel Plaintiff Lisa Smith to arbitrate her claims against Defendant based on two arbitration provisions: (1) a provision contained in the "Owner's Handbook and Warranty Information (the Handbook); and (2) a provision contained in the "Bluelink Connected Services Agreement" (CSA). Defendant's request for judicial notice of the Complaint is granted although unnecessary. Owner's Handbook and Warranty Information The Handbook for Plaintiff's vehicle sets forth the details of Defendant's express warranty, and Plaintiff's claims in this action are based in part on the existence of this warranty. (Ameripour Decl., Ex. 3.) The provision also provides the FAA applies. (Ameripour Decl., Ex. 3, § 4, p. 14.) Under the FAA, the court must compel arbitration of claims covered by an enforceable arbitration agreement. (9 U.S.C. § 3.) The party seeking to compel arbitration has the burden of proving the existence of an agreement to arbitrate by a preponderance of the evidence. (<i>Johnson v. Walmart Inc.</i> (9th Cir. 2023) 57 F.4th 677, 681 (<i>Johnson</i>)). Importantly, " 'while doubts concerning the scope of an arbitration clause should be resolved in favor of arbitration, the presumption does not apply to disputes concerning whether an agreement to arbitrate has been made.' [Citations.]" (<i>Id.</i> at pp. 680-681.) " '[A]rbitration is strictly a matter of consent ... and thus is a way to resolve those disputes—but only those disputes—that the parties have agreed to submit to arbitration.' [Citation] (emphasis in original).... As 'arbitration is a matter of contract[,]' ... a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit.' [Citations.]" (<i>Id.</i> at 681.) To determine whether the parties have agreed to arbitrate a dispute, federal courts apply state-law principles of contract formation. (<i>Berman v. Freedom Financial Network, LLC</i> (9th Cir. 2022) 30 F.4th 849, 855.) To form a contract under California law, there must be mutual assent. (<i>Herzog v. Superior Court</i> (2024) 101 Cal.App.5th 1280, 1293-1294 (<i>Herzog</i>); <i>Long v. Provide Commerce, Inc.</i> (2016) 245 Cal.App.4th 855, 862 (<i>Long</i>)). " 'Mutual

	assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understandings. The parties' outward manifestations must show that the parties all agreed 'upon the same thing in the same sense.' If there is no evidence establishing a manifestation of assent to the 'same thing' by both parties, then there is no mutual consent to contract and no contract formation." (<i>Herzog</i>, at pp. 1293-1294.) A signed arbitration agreement is one manner of manifesting consent (see <i>Binder v. Aetna Life Ins. Co.</i> (1999) 75 Cal.App.4th 832, 850), but it is not the only manner. " '[I]t is not the presence or absence of a signature which is dispositive; it is the presence or absence of evidence of an agreement to arbitrate which matters.' [Citation.] Evidence confirming the existence of an agreement to arbitrate, despite an unsigned agreement, can be based, for example, on 'conduct from which one could imply either ratification or implied acceptance of such a provision.' " (<i>Serafin v. Balco Properties Ltd., LLC</i> (2015) 235 Cal.App.4th 165, 176.) For example, "[w]hen an employee continues his or her employment after notification that an agreement to arbitration is a condition of continued employment, that employee has impliedly consented to the arbitration agreement." (<i>Diaz v. Sohnen Enterprises</i> (2019) 34 Cal.App.5th 126, 130.) But because notice is the touchstone for assent to a contract, in order to establish mutual assent, there must be actual or constructive notice of the agreement. (<i>B.D. v. Blizzard Entertainment, Inc.</i> (2022) 76 Cal.App.5th 931, 944 (<i>Blizzard</i>); <i>Stover v. Experian Holdings, Inc.</i> (9th Cir. 2020) 978 F.3d 1082, 1086 ["notice--actual, inquiry, or constructive--is the touchstone for assent to a contract"]; see <i>Herzog, supra</i>, 101 Cal.App.5th at pp. 1293-1294.) "[I]n the absence of actual notice, a manifestation of assent may be inferred from the consumer's actions ... but any such action must indicate the parties' assent to the same thing, which occurs only when the [provider] puts the consumer on constructive notice of the contractual terms." (<i>Sellers v. JustAnswer LLC</i> (2021) 73 Cal.App.5th 444, 461 (<i>Sellers</i>), accord, <i>Herzog</i>, at p. 1294.) "[W]hether the terms appear on a physical piece of paper or a computer screen, 'California law is clear—"an offeree, regardless of apparent manifestation of his consent, is not bound by inconspicuous contractual provisions of which he was unaware, contained in a document whose contractual nature is not obvious." ' [Citation.]" (<i>Sellers, supra</i>, at p.
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461; accord, *Herzog*, supra, 101 Cal.App.5th at pp. 1293-1294; *Long*, supra, 245 Cal.App.4th at p. 862.)

Here, Plaintiff did not sign the Handbook as there is no signature page and states he does not recall being made aware of the Handbook or its contents upon leasing the vehicle. (Smith Decl., ¶¶ 4-7.) Thus, Defendant argues the arbitration provision in the Handbook is enforceable under the doctrine of equitable estoppel.

However, this instance is different from the numerous other cases where the court extended equitable estoppel to prevent a plaintiff from relying upon the terms of an agreement to assert his claims and then repudiating the arbitration clause in that agreement. (See *Goldman v. KPMG, LLP* (2009) 173 Cal.App.4th 209, 220.) The question here is whether the two parties to the arbitration provision in the Handbook mutually agreed to form an agreement. The mere fact that Plaintiff leased a vehicle with a warranty does not necessarily mean they assented to an arbitration agreement in the "owner's" handbook hidden in the glovebox of a car that Plaintiff had no occasion to discover or read until after Plaintiff leased it and became an "owner." (See *Windsor Mills, Inc. v. Collins & Aikman Corp.* (1972) 25 Cal.App.3d 987, 992.) "However, when the offeree does not know that a proposal has been made to him this objective standard does not apply." (*Id.* at p. 993.) Hence, "whether the terms appear on a physical piece of paper or a computer screen, 'California law is clear—"an offeree, regardless of apparent manifestation of his consent, is not bound by inconspicuous contractual provisions of which he was unaware, contained in a document whose contractual nature is not obvious." ' [Citation.]" (*Sellers, supra*, 73 Cal.App.5th at p. 461; accord, *Herzog, supra*, 101 Cal.App.5th at pp. 1293-1294; *Long, supra*, 245 Cal.App.4th at p. 862.)

The arbitration provision in the Handbook was not made obvious to Plaintiff and it is not obvious by the nature of the Handbook it is an agreement, let alone require the acceptance of an arbitration provision to lease the vehicle. While Plaintiff may be held to have accepted, by his conduct in leasing a vehicle covered by a warranty, the warranty-related terms the Handbook may contain, Plaintiff did not know and had no occasion to know that the Handbook also included an arbitration agreement—an agreement not incident to or engendered by a warranty, which required binding arbitration and waived their right to a jury trial—that would automatically apply without prior notice.

	As discussed above, notice is the touchstone for assent to a contract, and in order to establish mutual assent, there must be actual or constructive notice of the agreement. (See <i>Blizzard, supra</i>, 76 Cal.App.5th at p. 944; <i>Stover v. Experian Holdings, Inc., supra</i>, 978 F.3d at p. 1086; see <i>Herzog, supra</i>, 101 Cal.App.5th at pp. 1293-1294.) “[I]n the absence of actual notice, a manifestation of assent may be inferred from the consumer’s actions ... but any such action must indicate the parties’ assent to the same thing, which occurs only when the [provider] puts the consumer on constructive notice of the contractual terms.” (<i>Sellers, supra</i>, 73 Cal.App.5th at p. 461; accord, <i>Herzog</i>, at p. 1294.) No such notice has been shown here. Thus, regardless of Plaintiff’s apparent manifestation of consent by using the vehicle and taking it in for repairs, and the dealership’s misleading explanation of arbitration, Plaintiff is “not bound by [the subject] inconspicuous contractual provisions of which [he] [was] unaware, contained in a document whose contractual nature is not obvious.” ‘ [Citation.]’ (<i>Sellers, supra</i>, at p. 461; <i>Herzog, supra</i>, 101 Cal.App.5th at pp. 1293-1294; <i>Long, supra</i>, 245 Cal.App.4th at p. 862.) Thus, Defendant has failed to demonstrate the arbitration provision in the Handbook is a valid agreement to arbitrate. Connected Services Agreement The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. (<i>Little v. Pullman</i> (2013) 219 Cal.App.4th 558, 565.) The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. (<i>Id.</i>) The court resolves the parties’ dispute regarding the existence of the arbitration agreement using a three-step burden-shifting process. (<i>Espejo v. Southern California Permanente Medical Group</i> (2016) 246 Cal.App.4th 1047, 1056.) “The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. A movant can bear this initial burden by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signature. At this step, a movant need not follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement and support the allegation as provided in rule 3.1330. If the movant bears its initial burden, the burden
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shifts to the party opposing arbitration to identify a factual dispute as to the agreement's existence—in this instance, by disputing the authenticity of their signatures. To bear this burden, the arbitration opponent must offer admissible evidence creating a factual dispute as to the authenticity of their signatures. The opponent need not prove that his or her purported signature is not authentic, but must submit sufficient evidence to create a factual dispute and shift the burden back to the arbitration proponent, who retains the ultimate burden of proving, by a preponderance of the evidence, the authenticity of the signature.” (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755.)

Defendant has satisfied the first step by demonstrating Plaintiff enrolled in Bluelink which requires agreeing to the Connected Services Agreement (CSA) which also contains an arbitration agreement.

“[A] gateway dispute about whether the parties are bound by a given arbitration clause raises a ‘question of arbitrability’ for a court to decide.” (*Howsam v. Dean Witter Reynolds, Inc.* (2002) 537 U.S. 79, 84.) “However broad may be the terms of a contract, it extends only to those things concerning which it appears that the parties intended to contract.” (Civ.C. § 1648.) The general rule is that arbitration will be ordered “unless it can be said with assurance that the arbitration clause is not susceptible of an interpretation that covers the asserted dispute.” (*Pacific Invest. Co. v. Townsend* (1976) 58 Cal.App.3d 1, 9-10.)

The arbitration agreement in the CSA is broad and covers any and all disputes between Defendant and Plaintiff “arising out of or relating to this Agreement, Connected Services, Connected Services Systems, Service Plans, your Vehicle, use of the sites, or products, services, or programs you purchase, enroll in or seek product/service support for, whether you are a Visitor or Customer, via the sites or through mobile application, except any disputes or claims which under governing law are not subject to arbitration, to the maximum extent permitted by applicable law. This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us subject to arbitration to the fullest extent permitted by law. However, any dispute you or we may have relating to copyrights or other intellectual property shall not be governed by this agreement to arbitrate. For the avoidance of doubt, this means that any claims you or we may have relating to intellectual property rights against the other, including injunctive and other relief sought, may be brought in a court of competent jurisdiction.” (Rao Decl., Ex. 2, § 14(a).)

		While the arbitration agreement purports to cover any and all disputes between the parties regarding “[plaintiff’s] Vehicle,” the scope of an arbitration clause “turns on whether the ... claims are ‘rooted’ in the contractual relationship between the parties....” (<i>Ahern v. Asset Management Consultants, Inc.</i> (2022) 74 Cal.App.5th 675, 692.) In other words, to be arbitrable, the subject claims must have their roots in the relationship between the parties that was created by the contract containing the arbitration provision. (<i>Id.</i> at pp. 692-693; <i>Rice v. Downs</i> (2016) 248 Cal.App.4th 175, 188.) “[E]ven under a very broad arbitration provision, such as any controversy or claim arising out of or relating to this agreement, the subject claims must have their roots in the relationship between the parties which was created by the contract before they can be deemed to fall within the scope of the arbitration provision.” (<i>Rice v. Downs, supra</i>, 248 Cal.App.4th at p. 188.) The CSA governs the Defendant’s Connected Services technology. “These Terms and Conditions are the agreement between us regarding our provision of Connected Services to you (collectively referred to herein as ‘Agreement’ or ‘Connected Services Agreement’).” (Rao Decl., Ex. B.) The CSA defines Connected Services as the vehicle technology and service functions received as part of the enrollment in a Bluelink or Genesis Connected Services subscription, including but not limited to [¶] · Remote Service Activation [¶] · Stolen Vehicle Recovery [¶] · Enhanced Roadside Assistance [¶] · SOS/ACN [¶] · POI Send-to-Car and Destination Search [¶] · Digital Key 2.0 [¶] · Verizon Hotspot [¶] · Over the Air software updates[.]” (Rao Decl., Ex. B.) The Complaint alleges defects related to the Vehicle’s transmission. (Compl., ¶¶ 10, 45.) Thus, the Connected Services are not at issue in this case and Plaintiff’s claims do not arise out of the relationship created by the CSA. Therefore, the arbitration provision in the CSA does not cover the defects claimed in the Complaint and arbitration should not be compelled under the CSA. Accordingly, Defendant’s Motion is denied.
9	Santoro v. Smith 2023-01331783 Motion to Dismiss CMC OSC for FTA	Defendant Craig Thomas’s Motion to Dismiss is GRANTED. Defendant Craig Thomas, an individual and as Successor In Interest for Chris Santoro and Trustee of Carpe Vitam Trust, moves to dismiss this action pursuant to Code of Civil Procedure sections 581 and 583.410, et seq. Section 581, subdivision (f)(4), provides: “The court may dismiss the complaint as to that defendant when: . . . [¶] (4) After